

• CHAPTER 01 · FULL CHAPTER

You're comparing two sellers.

Not just two houses — and the difference works in your favor more often than buyers realize.

— THE CORE DISTINCTION

A builder and a homeowner aren't the same kind of seller.

A builder sells inventory — dozens of homes, on a production schedule, with carrying costs that add up every day a house sits empty. A homeowner sells one house, usually with some emotional attachment to it, and rarely has room to discount below what they still owe. That difference is why builders negotiate the way they do, why their incentives exist at all, and why "new construction costs more" stopped being a safe assumption.

A Builder	A Homeowner
INVENTORY SELLER	SINGLE-HOUSE SELLER
■ What they're selling: one of many — inventory on a production line ■ Cost of an empty house: real, ongoing, every day it sits unsold ■ Can subsidize your rate? often, yes — the math works company-wide ■ How the price gets set: standardized, community-wide, adjusts with incentives	■ What they're selling: the one home they live in ■ Cost of an empty house: none — they're still living in it ■ Can subsidize your rate? rarely — they'd be losing their own money ■ How the price gets set: negotiated one house at a time

That's the leverage most new-construction advice skips.

— WORTH A SERIOUS LOOK

New-home sales have held up better than resale through the recent slowdown.

U.S. CENSUS BUREAU & NATIONAL ASSOCIATION OF REALTORS DATA

~12% of all home sales

New construction currently runs at roughly that share — and has held it specifically because builders can discount and finance their way to a sale in a way an individual owner usually can't.

A builder's already-built or nearly-finished inventory home can often close on a timeline that competes directly with resale, frequently with a rate buydown or closing-cost credit a resale seller has no way to match. The homes that genuinely take months are the ones built from a bare lot — semi-custom and custom. Beyond speed, four real advantages come standard with new construction and rarely with resale.

— FOUR REAL ADVANTAGES NEW CONSTRUCTION GIVES YOU

01 – WARRANTY**A warranty resale can't match.**

Most new homes come with a structured builder warranty — commonly a 1-2-10: one year on workmanship, two years on major systems, ten years on structural elements. Resale typically comes with none of that. Ch. 12

02 – DESIGN**A home built around how you live.**

Depending on the build type, you choose the floor plan, finishes, and layout before drywall goes up, instead of paying to undo someone else's choices later. Ch. 9

03 – TIMING**Real windows where the price moves.**

Builders have a quarter to close, and public filings show exactly when that clock runs out for each one. Track it live on the Negotiation Window. Ch. 5

04 – FINANCING**A real way in, even starting from less.**

Rate buydowns and closing-cost credits routinely make the difference for buyers who assumed homeownership wasn't in reach yet, especially first-time buyers. Ch. 4

— READ BEFORE YOU TOUR

The rules the rest of this Playbook runs on.

- 01 Compare **total cost of ownership**, not the sticker price — taxes, HOA, incentives, and financing move the real number more than the list price does.
- 02 Compare the **entire transaction**, not just the house — who's selling it changes what's negotiable.
- 03 **Don't assume resale is cheaper.** Builder incentives can change the effective cost more than the advertised price suggests.
- 04 **Don't assume new construction takes longer.** That depends entirely on which of the five build types you're looking at (Ch. 2).
- 05 **Don't assume an incentive is automatically a good deal.** Chapter 5 shows you how to check.

REPORTING NOTE

A builder's model home is a marketing tool, not a specification sheet. Model homes are typically loaded with tens of thousands of dollars in upgrades. Always ask what the base home at the advertised price actually includes — Chapter 9 covers this in detail.

— BE CLEAR-EYED

Real tradeoffs. Not reasons to rule it out.

Expect construction noise and traffic for as long as the community is still building, a yard that starts as bare sod, landscaping and window coverings that usually aren't included, and a property tax bill that can jump significantly in year two — once the county assesses the finished house instead of the empty lot. Resale has real strengths too: mature trees, an established neighborhood, a known tax bill, and a seller you can negotiate with directly.

BEST FIT

Staying 5+ years

Fits buyers who plan to stay five or more years, want predictable maintenance in the early years, value energy efficiency, and want to choose finishes rather than renovate. Also a common fit for buyers relocating from out of the area.

WORTH WEIGHING

Resale's real strengths

Mature trees, an established neighborhood, a known tax bill, and a seller you can negotiate with directly — legitimate reasons to look at resale, not reasons on their own to rule out new construction.

ONE REAL CAUTION

Selling within 2–3 years

If you might sell within two or three years, **be careful** — you'd be reselling against the builder's own brand-new inventory down the street, usually at a disadvantage. Budget for move-in costs new construction doesn't include: blinds, fencing, landscaping.

Look Closer.

Four real advantages come standard with new construction — and rarely with resale. Being clear-eyed about the tradeoffs is part of why this decision is worth taking seriously, not a reason to default to resale.

Read **Chapter 01 in full** — *Is New Construction Right for You?* — free at newhomedispatch.com, and see what's actually being built near you on the Explorer.

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